Mosquito Shield

Franchise Decision Report

Source: 2025 Franchise Disclosure Document
Filed with the Wisconsin Department of Financial Institutions
Legal entity: Mosquito Shield Franchise, LLC
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Executive Summary

Mosquito Shield is the fastest-growing brand in the mosquito pest control cohort — and the one that most requires careful reading. Net growth of +140 franchised outlets over 2022–2024 leads the category by a wide margin. But that headline masks a churn rate unlike anything else in the cohort: 122 terminations over the same period, including 65 in a single year (2023). For every 2.2 outlets opened, one was terminated. This is a system that grows fast and loses fast.

The fee structure compounds the complexity. Shield's royalty (8%) is the lowest in the cohort, but its local advertising minimum ($50,000/year) is the highest. At $300K revenue, total franchisor fees are $86,000 (28.7%) — the highest in the category. The low royalty headline is misleading; total cost of operation is among the most expensive. And the $50K local ad floor hits hardest at low revenue levels, precisely where new franchisees operate.

The Item 19 provides quartile-level revenue data with retention metrics. But 21% of outlets are excluded as "non-conforming" — the highest exclusion rate in the cohort. The revenue data that is disclosed shows per-outlet figures, not per-territory, and the average reporting outlet operates 4.5 territories. A single-territory buyer cannot use these numbers directly.

Decision Scorecard

Quick-read assessment across key buyer decision dimensions. Ratings reflect this brand's position relative to the mosquito pest control cohort.

DIMENSION	RATING	SUMMARY
Entry cost burden	**MIXED**	$121K–$158K headline, but working capital ($5K max) is unrealistically low. True first-year cost is likely $170K–$210K. $54.5K franchise fee is highest in cohort.
Ongoing fee burden	**WEAK**	Highest total fees in cohort at most revenue levels despite lowest royalty (8%). $50K local ad floor is the primary driver.
System stability	**WEAK**	122 terminations over 3 years — no other brand is close. 65 in 2023 alone. Fastest growth (+140) but highest churn. Net growth masks a volatile system.
Revenue disclosure	**MIXED**	Quartile data exists but per-outlet (avg 4.5 territories), not per-territory. 21% exclusion rate is highest in cohort. Company-owned P&L gives percentages only.
Disclosure quality	**MIXED**	21% 'non-conforming' exclusion rate is a significant transparency concern. PDF rendering issues. Minor table discrepancies. Below peer standard.
Downside risk profile	**WEAK**	Highest termination rate in cohort. Minimum Gross Sales penalty is unique. Involuntary exit probability is materially higher than any competitor.
Buyer fit breadth	**MIXED**	Requires high risk tolerance and capital ($170K+ realistic). Best for buyers who believe the growth story and can execute at scale.
Overall	**CAUTIOUS**	Strongest growth, weakest stability. Every headline number requires a second read. The gap between what Shield looks like on paper and what the underlying data shows is the widest in the cohort.

OVERALL POSTURE

Mosquito Shield is the brand in this cohort where the surface story and the underlying data diverge the most. The growth is real — +140 net units is unmatched. But so is the churn — 122 terminations in 3 years. The low royalty is real — 8% is the lowest. But total fees are the highest. The Item 19 data exists — but 21% of outlets are excluded, and per-outlet figures obscure per-territory economics. A buyer considering Shield needs the highest tolerance for uncertainty and the sharpest diligence of any brand in this cohort.

Buyer-Fit Profile

Best fit for

- **Buyer who believes in the growth thesis:** If you believe Shield is building a dominant brand and the churn is a temporary cost of rapid expansion, the growth trajectory and low royalty could reward early entry.
- **Multi-territory buyer from day one:** The economics appear to work better at scale. Q1 operators average 8.1 territories and $820K revenue. The graduated multi-territory franchise fee discounts support this path.
- **Buyer with high risk tolerance:** The probability of involuntary exit (termination) is materially higher than any competitor. You need to be comfortable with that possibility and capitalized enough to absorb a loss if it happens.
- **Buyer in an underserved market:** If your target market has genuine unmet demand for mosquito control and limited competition, Shield's aggressive marketing model ($50K+ local ad spend) could build market share quickly.

Weaker fit for

- **Risk-averse first-time buyer:** The termination rate, fee complexity, Minimum Gross Sales penalties, and 21% exclusion rate create more uncertainty than any other brand in the cohort. Authority is a categorically safer entry.
- **Single-territory buyer on a budget:** Per-territory economics appear modest (implied ~$30K median per territory). The $50K local ad floor is devastating at low revenue levels. The math works for multi-territory; it's unclear at single-territory scale.
- **Buyer who needs transparent data:** The 21% exclusion rate, per-outlet (not per-territory) reporting, and percentage-only P&L make Shield's Item 19 the hardest to build a financial model from. Squad or Joe offer substantially more usable data.

Proceed only if

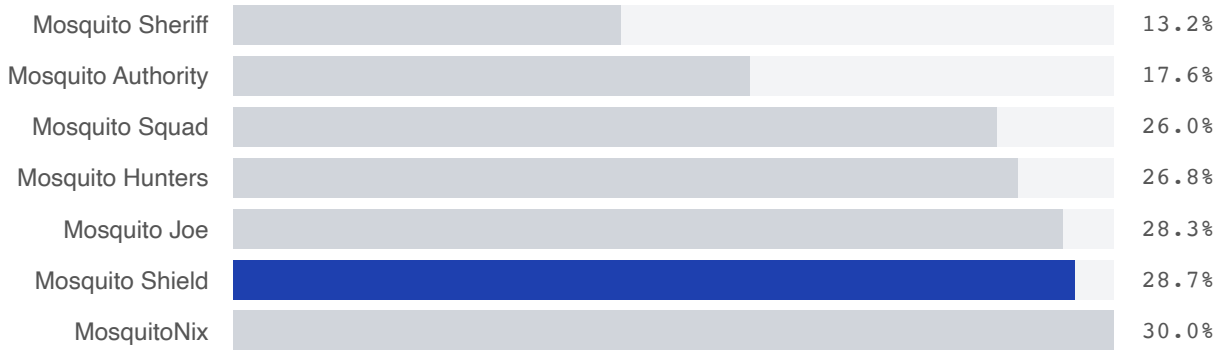
- You've gotten a detailed, cause-level explanation for the 122 terminations and believe the rate will continue declining.
- You've validated per-territory (not per-outlet) revenue with 3+ current single-territory operators.
- You understand and accept the Minimum Gross Sales shortfall penalty and have modeled the Year 5 threshold ($283,500) against realistic revenue projections.
- You've budgeted $170K–$210K total first-year cash (not the $121K–$158K Item 7 range).
- You've asked what "non-conforming" means and what those excluded outlets' revenue looked like.

Fee Burden Analysis

Mosquito Shield has the most deceptive fee structure in the cohort. The 8% royalty is the lowest — but the $50,000 local advertising floor pushes total fees to the highest level at most revenue points. The gap between the royalty headline and the total fee reality is wider for Shield than for any other brand.

AT REVENUE	ROYALTY	MARKETING	TECH / OTHER	TOTAL	% OF REV	COHORT RANK
$200,000	$16,000	$54,000	$6,000	**$76,000**	38.0%	7/7
$300,000	$24,000	$56,000	$6,000	**$86,000**	28.7%	6/7
$400,000	$32,000	$58,000	$6,000	**$96,000**	24.0%	5/7
$500,000	$40,000	$60,000	$6,000	**$106,000**	21.2%	4/7

Cohort fee burden at $300K revenue



Total annual franchisor fees as a percentage of $300K gross revenue. Includes royalty, marketing, technology, and all mandatory recurring fees.

Component breakdown

- **Royalty (8% flat):** Lowest in cohort. But paired with Minimum Gross Sales requirements escalating to $283,500 by Year 5. If you don't hit the minimum, the franchisor may collect 7% of the shortfall — effectively adding a performance penalty on top of the royalty. (p. 14)
- **Brand Fund (2% of Gross Sales):** Weekly. Standard brand contribution. (p. 14)
- **Local Advertising ($50K or 10%):** Greater of $50,000 or 10% of gross revenues per year (after Year 1). This is the highest local ad floor in the cohort. At $200K revenue, this single line item costs 25% of your gross — before royalty, before any other fee. At $300K, it's still 17%. The floor creates severe regressive pressure on smaller operators. (pp. 14–15)

- **Sales Center ($300–$750/month):** $3,600–$9,000/year. Required for call handling. Modeled at low end. (p. 16)
- **Bookkeeping ($200–$500/month):** $2,400–$6,000/year. Mandatory approved vendor. Modeled at low end. (p. 16)
- **Advertising Cooperative:** Currently $0. Maximum $25,000/year unless 2/3 of members approve more. Credits toward local ad obligation. Dormant but contractually available. (p. 15)

> **What this means:** At $300K revenue, Shield's total franchisor fees ($86,000) exceed Mosquito Joe ($84,752) — despite Joe having a 10% royalty and Shield having 8%. The difference is the local ad floor. At $200K, Shield's fees ($76,000) are the highest in the cohort at 38% of revenue. The 8% royalty is real, but it buys you the most expensive marketing obligation in the category.

> **MINIMUM GROSS SALES — A HIDDEN PERFORMANCE REQUIREMENT**
>
> The FDD specifies escalating Minimum Gross Sales thresholds: $45K (Year 1), $100K (Year 2), $189K (Year 3), $236K (Year 4), $283,500 (Year 5+). If you miss the target, the franchisor may collect 7% of the shortfall. At Year 5, missing the $283K target by $83K (achieving $200K) would mean an additional $5,845 in effective fees — on top of the standard royalty. This is a performance penalty that no other brand in the cohort imposes. (p. 14)

Item 19 Interpretation

Shield's Item 19 provides quartile-level revenue data plus customer retention metrics. It is substantive — but it requires more careful reading than any other brand's disclosure, because of a high exclusion rate and multi-territory reporting that complicates per-territory inference.

Company-owned P&L (1 location, SE Pennsylvania)

Cost percentages only — absolute revenue is not disclosed:

- COGS: 19.1%
- Payroll & personnel: 33.2%
- Marketing & advertising: 3.6%
- Insurance: 4.3%
- Auto & travel: 5.7%
- Other: 4.6%
- **Total costs: 70.5% — Adjusted EBITDA: 29.5%**

This is a single acquired location, 5+ years operational, with a larger geography than a standard new territory. Owner compensation was adjusted to reflect a general manager salary, not actual pre-acquisition owner draw. Without absolute revenue, you cannot compute dollar amounts from these percentages. The 29.5% EBITDA margin is directionally useful but not directly comparable to your economics.

Franchisee gross sales by quartile (2024)

81 of 125 outlets reporting, with 26 excluded as "non-conforming":

QUARTILE	OUTLETS	AVERAGE	MEDIAN	AVG TERRITORIES
Q1 (top 25%)	~20	$819,520	$721,144	8.1
Q2	~20	$210,494	$175,371	4.4
Q3	~20	$94,275	$91,470	3.4
Q4 (bottom 25%)	~20	$31,771	$37,004	2.3
All outlets	81	$285,839	$134,918	4.51

What to be careful about

The exclusion rate is the highest in the cohort. 26 outlets (21%) are excluded as "non-conforming." The FDD does not define what non-conforming means. If these are underperforming outlets, their exclusion materially inflates the reported averages. No other brand excludes more than a handful of outlets from their Item 19 reporting.

Revenue is per-outlet, not per-territory. The average reporting outlet operates 4.51 territories. At the system-wide median ($134,918) with 4.51 territories, implied per-territory revenue is approximately $30,000. Even at the Q2 median ($175,371 across 4.4 territories), per-territory revenue is roughly $40,000. For a buyer evaluating a single territory, the published revenue data suggests very modest economics.

Customer retention is strong: 85% returning year-over-year, with $715 average revenue per customer. 28% prepay rate. These are healthy recurring-business signals — but they come from the full system, not just the 81 qualifying outlets.

> **What this means:** The Item 19 data is structurally harder to use than Squad's (which gives per-territory quartiles) or Joe's (which gives per-franchisee tenure-segmented data). Shield's data requires you to adjust for multi-territory ownership and accept a 21% exclusion rate you cannot independently

> verify. The customer retention metrics are the most reliable signal — 85% retention with $715/customer revenue is a real recurring business. The revenue-level data requires more caution.

Revenue triangulation

Cross-checking against system-level data provides a useful sanity check.

- Total system-wide sales: $25.7M (2024), up from $23.8M (2023)
- 435 franchised outlets at year-end → approximately $59,000 per outlet across the full system
- But many outlets were not operational for the full year (73 opened during 2024)
- For 81 qualifying outlets with full-year data: average $285,839 per outlet
- Implied contribution from the other 354 outlets: ($25.7M − ($285,839 × 81)) / 354 ≈ $7,200 per outlet

That math doesn't quite work — the non-qualifying outlets include recent openings, the 26 "non-conforming," and 44 that were terminated during the year. Many had partial-year revenue. But the gap between qualifying-outlet revenue ($286K average) and system-level per-outlet revenue (~$59K) illustrates how much the reported Item 19 data departs from typical unit economics in the system.

At the customer level: 35,902 total customers across 435 outlets ≈ 83 customers per outlet. At $715/customer ≈ $59,300 per outlet — this aligns with the system-level per-outlet figure and is far below the Item 19 qualifying-outlet average. The customer-level math is the more honest benchmark for what a typical outlet looks like.

Buyer-Side Economics Reality Check

Important framing: This is not a profitability forecast. It is an illustrative scenario exercise using Mosquito Shield's per-outlet revenue quartiles (Item 19 Table 1) combined with a 19% COGS estimate from the company-owned P&L. Shield's Item 19 reports revenue per outlet, not per territory — the average outlet operates 4.5 territories. A single-territory buyer's economics will differ significantly. The 21% exclusion rate means the revenue data may overstate typical performance. Use these scenarios as a framework for questions, not as projections.

SCENARIO	REVENUE	FRANCHISOR FEES	EST. COGS	REMAINING
Conservative (Q3 median per outlet)	$91,000	$65,100 (71.5%)	$17,290	**$8,610**
Moderate (Q2 median per outlet)	$175,000	$73,500 (42.0%)	$33,250	**$68,250**
Strong (system-wide average)	$286,000	$84,600 (29.6%)	$54,340	**$147,060**

Revenue from Item 19 per-outlet quartile data (not per-territory). COGS at 19% (company-owned P&L, single acquired location, SE PA). Franchisor fees computed at each scenario's revenue level using the brand's royalty structure (8% flat), Brand Fund (2%), local advertising floor ($50,000 or 10% of revenue, whichever is greater), and fixed fees (Sales Center + Bookkeeping at $6,000/year). At sub-$500K revenues, effective fee formula is 10% of revenue + $56,000 fixed. Note: the narrative section below uses slightly higher fee estimates that may reflect the minimum gross sales penalty (7% of shortfall) for outlets below the Year 4–5 targets; verify against FDD Item 6. 'Remaining' must cover: payroll/personnel (33.2% of revenue in company-owned P&L), insurance, vehicle costs, facilities, and your living expenses. The company-owned P&L shows total costs of 70.5% — the scenarios show only COGS + franchisor fees, not the full cost stack.

What the scenarios tell you

Conservative (Q3 median per outlet, $91K): After fees ($75K) and COGS ($17K), essentially nothing remains. At Q3 economics with a single territory (implied ~$27K revenue), the business is not viable — the $50K local ad floor alone exceeds revenue. Q3 outlets average 3.4 territories, and even at the per-outlet level, fees consume 82% of revenue. This scenario does not produce a livelihood.

Moderate (Q2 median per outlet, $175K): After fees ($79K) and COGS ($33K), $63K remains. But the company-owned P&L shows that payroll/personnel consume 33.2% of revenue — that's $58K at this revenue level. After payroll, there is virtually no margin. Q2 outlets average 4.4 territories, so per-territory revenue is ~$40K. The math requires multi-territory scale to work.

Strong (system-wide average, $286K): After fees ($85K) and COGS ($54K), $147K remains. After payroll (33.2% = $95K), $52K for all other costs and owner draw. This is where Shield starts functioning as a business — but $286K is the average of qualifying outlets (which excludes 21% as non-conforming), not the system average (~$59K per outlet). Reaching this level likely requires 3–5 territories.

THE MULTI-TERRITORY MATH

Shield's economics appear fundamentally oriented toward multi-territory operation. Q1 operators (8.1 territories, $820K average) are likely generating viable margins. Q3–Q4 operators (2–3 territories, $31K–$94K) are likely losing money after fees and operating costs. The question for a buyer is not "can I make one territory work?" — it may be "can I commit to and fund 3–5 territories from day one?" The franchise fee discounts ($45K for 2nd, $35K for 3rd) suggest the franchisor agrees.

What the buyer still needs to validate

- **Single-territory viability:** Ask for revenue data on operators with exactly 1 territory. If no one can sustain a single territory, this is a multi-territory investment from day one — which changes the capital requirement dramatically.
- **The payroll ratio:** The company-owned P&L shows 33.2% in payroll/personnel. Verify whether this is achievable for a smaller operation or reflects economies of scale in a large geography.
- **True first-year costs:** The $5K working capital estimate is almost certainly insufficient. Build your own 12-month cash flow projection with realistic assumptions for payroll, vehicle, insurance, and the $50K advertising obligation.
- **Exclusion bias:** If the 26 non-conforming outlets had $0–$50K revenue, the true system median could be significantly below the reported $135K. Ask for system-wide revenue data including all outlets.

Illustrative Payback Sensitivity

The table below shows how long it would take to recover your initial investment under different assumptions about annual owner draw (net income after all costs, fees, and operating expenses — but before personal taxes).

ASSUMED ANNUAL OWNER DRAW	ITEM 7 LOW ($121K)	ITEM 7 HIGH ($158K)	REALISTIC ($190K)
$20K (Q3 scenario — marginal)	6.0 years	7.9 years	9.5 years
$50K (Q2 scenario — functional)	2.4 years	3.2 years	3.8 years
$80K (average qualifying outlet)	1.5 years	2.0 years	2.4 years

THE HONEST FRAME

At Q3 economics ($91K per outlet, ~$20K draw), payback takes 6–10 years. At Q2 ($175K, ~$50K draw), payback is 2.4–3.8 years. But these are per-outlet figures at 3–4+ territories. A single-territory buyer at $27K–$40K revenue has no realistic path to payback. The investment math only works if you reach Q2+ economics — which historically requires multiple territories. The "Realistic" column adds $32K to the Item 7 high to reflect actual first-year cash needs.

Investment Breakdown

The headline investment range ($120,525–$157,950) is mid-cohort, but two structural features make it distinctive: the $54,500 franchise fee is the highest in the category, and the $1,500–$5,000 working capital estimate is the lowest and least conservative.

CATEGORY	LOW	HIGH
Initial Franchise Fee	$54,500	$54,500
Annual Conference Registration Deposit	$1,000	$1,000
Customized Vehicle	$2,100	$16,000
Lease and Utility Deposits	$0	$1,500
Storage-Related Expenses	$0	$1,200
Franchise Starter Package	$23,600	$23,600
Business Management Software	$250	$250
Local Advertising Expenditure	$35,000	$50,000
Training Expenses	$1,500	$2,700
Insurance Premiums	$675	$900
Professional Fees	$350	$1,200
Licenses and Permits	$50	$100
Additional Funds - 3 Months	$1,500	$5,000
Total	**$120,525**	**$157,950**

What to know about the major line items

- **Franchise fee ($54,500):** Highest in cohort. Multi-territory discounts available (2nd territory $45K, decreasing to $23.5K for the 10th). A 10% deposit option exists (Exhibit F). (pp. 12–13)
- **Franchise Starter Package ($23,600):** Mandatory. Covers laptop, platform setup, 3-month pest control product supply, marketing materials, 3 months ProNexis/Pocomos/SEO, training hotel. This is a bundled pre-opening package paid to the franchisor — you cannot source these independently. (p. 19)
- **Local advertising ($35K–$50K):** First-year local ad expenditure. This becomes the $50K floor in Year 2+. A significant portion of the initial investment is pre-committed to marketing. (p. 19)
- **Vehicle ($2.1K–$16K):** Low end assumes 3 months of financing; high end covers customization on your own vehicle ($13,890). Full vehicle + customization can run ~$54.5K MSRP — not reflected in the Item 7 range. (p. 19)
- **Additional Funds — 3 months ($1,500–$5,000):** This is the lowest working capital estimate in the cohort. It explicitly excludes salary, employees, rent, and utilities. Compare to Squad's 12-month/$84K–$117K estimate. Plan for significantly more personal reserves than this line suggests. (p. 20)

> **What this means:** The $121K–$158K range understates true first-year cash needs. The $5K working capital cap excludes most actual operating costs. A more realistic first-year budget adds $30K–$50K beyond the Item 7 range for operating costs, living expenses, and the gap between the $35K–$50K first-year ad spend and the $50K Year 2+ minimum. Budget $170K–$210K total for a realistic picture.

System Health

Shield's system health is the most conflicted story in the cohort. Net growth of +140 franchised outlets over 3 years is the highest — but it required 267 openings to achieve, because 122 outlets were terminated in the same period. No other brand comes close to this churn volume. The question is whether this represents aggressive quality enforcement or underlying system instability.

YEAR	OPENED	CLOSED	NET	END COUNT
2022	91	13	+74	369
2023	103	70	+38	407
2024	73	45	+28	435

The termination pattern

The three-year pattern is stark:

- **2022:** 91 opened, 13 terminated. Growth-dominant. Net +74.
- **2023:** 103 opened, 65 terminated, 5 ceased. Massive churn year. Net +38.
- **2024:** 73 opened, 44 terminated, 1 ceased. Churn moderating but still high. Net +28.

In 2023, the system terminated 65 outlets — more than any other brand in the cohort has terminated in three years combined. Mosquito Authority had zero terminations across the entire period. Mosquito Joe had 24 in its worst year (2024). Shield's 65 is in a different category.

> **What this means:** There are two ways to read this data. The charitable interpretation: the franchisor is aggressively enforcing quality standards, removing underperformers to strengthen the system. The concerning interpretation: the business model or territory assignments are producing a high failure rate, and growth is being sustained by selling faster than operators leave. Both interpretations are consistent with the data. A buyer must determine which applies.

Geographic concentration

Massachusetts went from 14 outlets to 39 in 2023 (+25 opened in one year). This level of single-state concentration is unusual. It could reflect genuine market demand, or it could reflect territory over-saturation. If you're evaluating a territory in a state with rapid Shield expansion, ask how many outlets have been terminated in that same state.

Transfer activity

12 transfers in 2022, 21 in 2023, 28 in 2024 — steadily increasing. Combined with the high termination rate, rising transfers suggest increasing franchisee turnover through both voluntary (transfer) and involuntary (termination) channels. Total churn (terminations + ceased operations + transfers) was 25 in 2022, 91 in 2023, and 73 in 2024.

No company-owned outlets

Zero company-owned locations as of 2024 (2 were sold to franchisees in 2022). The company-owned P&L in Item 19 is for a location acquired "early 2025" — after the reporting period. The franchisor is not currently operating in its own system.

Risk Signals

Churn rate as structural risk

122 terminations across 3 years against an average system size of ~350 outlets is a termination rate that no other brand in this cohort approaches. Whether this is quality enforcement or system failure, the probability of involuntary exit is materially higher for a Shield franchisee than for any competitor. This is the single most important risk factor in this report.

Minimum Gross Sales performance requirements

Escalating minimum revenue targets ($45K in Year 1, $283,500 by Year 5+) with a 7% shortfall penalty. This is unique in the cohort — no other brand imposes financial penalties for underperformance. Combined with the high termination rate, this creates pressure: miss your revenue targets and you face both a financial penalty and the implicit threat of termination. Ask the franchisor how many of the terminations were related to minimum gross sales shortfalls.

Item 19 exclusion rate

21% of outlets excluded as "non-conforming" — undefined. If these are struggling operators, the reported revenue data is systematically biased upward. Combined with the high termination rate, this raises the question: are underperformers being excluded from the data and then terminated from the system? The buyer cannot independently verify either the exclusion criteria or the outcomes for excluded outlets.

Entity structure

Mosquito Shield Franchise, LLC (reorganized from Corporation to LLC in Feb 2022) within Mosquito Holdco / FS PEP Holdco / Princeton Equity Group. Standard PE-backed structure. The entity reorganization coincided with the start of the rapid expansion period — worth understanding what operational changes accompanied the restructuring.

Litigation

No litigation required to be disclosed. This is clean — but notable in the context of 122 terminations. Either all terminations were consensual / uncontested, or disputes are resolved

outside the disclosure threshold. A buyer should ask whether any terminated franchisees have disputed their exits.

Document quality

PDF text rendering issue (garbled "Pennsylvania" in Table 2). Minor Table 1 vs Table 3 discrepancy (1-unit difference in 2022 start count). These are quality blemishes, not integrity concerns — but in a filing with a 21% Item 19 exclusion rate, document quality signals matter more than usual.

Peer Context

Mosquito Shield sits at the intersection of the strongest growth story and the weakest system stability in the cohort. It added more outlets than any competitor but also lost more. It has the lowest royalty but the highest total fee burden at most revenue levels. It grew fastest but has the highest exclusion rate in its revenue data. Every strength has a corresponding tension.

Sharpest contrast: Mosquito Authority. Opposite profiles. Authority: zero terminations, slowest growth (+22), lowest fees, largest system. Shield: 122 terminations, fastest growth (+140), lowest royalty but highest total fees, second-largest system. Authority is the conservative play; Shield is the aggressive bet.

Fee comparison: Mosquito Joe. Similar total fee burden ($86K vs $85K at $300K), but structured differently. Joe's costs are spread across 5 marketing components; Shield's are dominated by the $50K local ad floor. Joe offers richer Item 19 data with lower exclusion. The brands cost about the same but have very different risk profiles — Joe's risk is fee complexity; Shield's risk is system churn.

Data comparison: Mosquito Squad. Both provide quartile revenue data, but Squad's is per-territory (much more useful for a single-territory buyer) while Shield's is per-outlet (average 4.5 territories). Squad's company-owned P&L provides absolute revenue ($20.8M); Shield's provides only percentages. For financial modeling, Squad gives you substantially more to work with.

METRIC	MOSQUITO AUTHORITY	MOSQUITO HUNTERS	MOSQUITO JOE	MOSQUITO SHERIFF	MOSQUITO SHIELD	MOSQUITO SQUAD	MOSQUITONIX
System size	546	135	415	5	435	226	8
Investment range	$54K–$127K	$141K–$170K	$150K–$192K	$79K–$81K	$120K–$157K	$162K–$220K	$121K–$157K
Fee burden at $300K	$52,800	$80,300	$84,752	$39,600	$86,000	$77,880	$90,100
% of revenue	17.6%	26.8%	28.3%	13.2%	28.7%	26.0%	30.0%
3-year net growth	+22	+8	+43	+5	+140	+3	+8
Recent attrition	1.8%	0.0%	5.7%	0.0%	11.1%	4.3%	28.6%
Royalty rate	10.0%	10.0%	10.0–7.0%	10.0%	8.0%	10.0–8.0%	10.0–7.0%

Decision overlay

Lowest-cost entry	Mosquito Authority — $54K–$128K. Shield's realistic first-year cost is $170K–$210K.
Lowest ongoing fee burden (established brands)	Mosquito Authority — 17–18% of revenue (2/7 in full cohort; 1st among brands with 100+ outlets). Shield is 29–38% — among the highest.
Lowest attrition at scale	Mosquito Authority — Zero terminations in a 546-outlet system. Shield had 122 terminations over the same 3-year window.
Fastest growth	Mosquito Shield — +140 net franchised outlets (2022–2024). But required 267 openings and 122 terminations to achieve.
Richest disclosure depth	Mosquito Squad — Per-territory quartiles, $20.8M company-owned P&L. Shield's data is per-outlet with 21% exclusion rate.
Lowest royalty rate	Mosquito Shield — 8% flat. But total fee burden is among the highest in the cohort due to $50K local ad floor.
Lowest-friction entry profile	Mosquito Authority — Lowest entry floor ($54K), fee deferral option. Shield's termination rate and fee complexity make it a higher-risk entry point. Note: low friction to enter does not predict profitability.

Discovery Day Diligence Script

These questions are derived from specific findings in the Mosquito Shield 2025 FDD. Each includes context on why it matters and what to listen for.

1. 65 outlets were terminated in 2023 and 44 in 2024. What were the primary causes, and how many were related to minimum gross sales shortfalls?

Item 20. 122 terminations over 3 years — highest in cohort by a wide margin.

WHY IT MATTERS

This is the single most important data point in the FDD. Whether terminations are quality enforcement (positive) or system failure (negative) fundamentally changes the risk profile. The minimum gross sales

shortfall mechanism provides a financial and contractual basis for termination.

STRONG ANSWER SOUNDS LIKE

'[X]% were for non-payment, [Y]% for performance shortfalls, [Z]% for compliance violations. Here are the geographic concentrations. Here's what we've changed since 2023.' Specific causes, willingness to break down the numbers.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'We maintain high standards. When franchisees don't follow the system, we part ways.' Generic quality language without specific cause data.

FOLLOW-UP

Ask for termination causes by state. Ask whether any terminated franchisees were in their first 2 years of operation.

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2. 26 outlets (21%) are excluded from Item 19 as 'non-conforming.' What does that mean, and what were their revenue levels?

Item 19 Table 1. Highest exclusion rate in cohort. Only 81 of 125 outlets included.

WHY IT MATTERS

If non-conforming outlets are underperformers, the reported revenue data is systematically biased upward. A buyer relying on the quartile data to plan their financial model could be working from inflated numbers.

STRONG ANSWER SOUNDS LIKE

'Non-conforming means [specific criteria: incomplete reporting, mid-year status changes, data quality issues]. Their average revenue was $[X]. Here's the comparison with qualifying outlets.' Transparent, quantified.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'They didn't meet the reporting requirements. The data we show is for compliant operators.' Deflects from the performance question.

FOLLOW-UP

Ask whether any of the 26 non-conforming outlets were subsequently terminated. Ask for the revenue distribution with non-conforming outlets included.

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3. The local advertising minimum is $50,000/year — the highest in the cohort. What measurable ROI does this deliver for a single-territory operator?

Item 6. At $200K revenue, this is 25% of gross — before royalty or any other fee.

WHY IT MATTERS

The $50K floor is the primary driver of Shield's high total fee burden. If it generates proportionally more leads or higher customer acquisition than competitors' lower ad spend, it justifies the cost. If not, it's a regressive tax on smaller operators.

STRONG ANSWER SOUNDS LIKE

'Territories spending $50K on local advertising generate an average of [X] leads, converting to [Y] new customers worth $[Z] in first-year revenue. Here's the attribution data.' Specific, measurable.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Marketing is essential to building your business. Our franchisees know it's an investment.' No data, no attribution.

FOLLOW-UP

Ask for the average customer acquisition cost across the system. Ask whether any franchisees have successfully negotiated a lower ad floor.

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4. Massachusetts went from 14 to 39 outlets in one year (2023). Was this market-driven or recruitment-driven, and how have those outlets performed?

Item 20, state-level data. +25 in a single state in one year is unusual.

WHY IT MATTERS

Rapid expansion in a single market can lead to territory saturation and cannibalization. If many of the 2023 MA openings are now in the bottom quartile or have been terminated, it's a signal about territory quality.

STRONG ANSWER SOUNDS LIKE

'Market expansion in MA was driven by [demand signal: customer waitlists, market studies]. Of the 25 opened, [X] are still operating and average $[Y] in revenue.' Performance data for the cohort.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Massachusetts is a great market for mosquito control. We saw strong interest from qualified candidates.' Recruitment language without performance data.

FOLLOW-UP

Ask how many of the 2023 MA openings appear in the 2024 termination data. Ask whether existing MA franchisees were consulted before the expansion.

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5. The Item 19 reports revenue per outlet, but the average outlet operates 4.5 territories. What is the revenue for a single-territory operator?

Item 19 Table 1. System-wide average: $285,839 per outlet across 4.51 territories.

WHY IT MATTERS

A buyer evaluating one territory cannot use per-outlet data. The implied per-territory revenue (~$30K at the median) is dramatically lower than the per-outlet figures suggest.

STRONG ANSWER SOUNDS LIKE

'Single-territory operators average $[X] in revenue. We have [Y] single-territory operators in the system.' Specific segmented data.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Most successful franchisees expand to multiple territories. We recommend starting with at least 2–3.' Redirects toward multi-territory without answering the question.

FOLLOW-UP

Ask how many of the 81 qualifying outlets operate exactly 1 territory, and what their average and median revenue is.

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6. The Minimum Gross Sales threshold is $283,500 by Year 5. What percentage of current franchisees are above this threshold, and how many have been charged the shortfall penalty?

Item 6. Franchisor may collect 7% of the difference between actual royalty and 7% of the minimum.

WHY IT MATTERS

If a significant percentage of franchisees are below the minimum, the penalty is a recurring cost, not an edge case. Combined with the high termination rate, it suggests a system where many operators struggle to meet revenue targets.

STRONG ANSWER SOUNDS LIKE

'[X]% of Year 5+ franchisees exceed the minimum. We've collected the shortfall penalty from [Y] operators in the past year. Here's what support we provide to help operators reach the threshold.' Transparent about incidence.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'The minimums are designed to motivate growth. Most franchisees meet them.' No specific numbers.

FOLLOW-UP

Ask whether any terminations were directly triggered by minimum gross sales shortfalls. Ask if the shortfall penalty and minimum threshold are negotiable.

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7. The entity was reorganized from a Corporation to an LLC in February 2022 — the same period the rapid expansion began. What changed operationally?

Brand notes. Mosquito Shield Franchise Corporation → LLC (Feb 2022).

WHY IT MATTERS

Entity restructuring often coincides with changes in strategy, ownership terms, or franchise agreement structure. The timing with the acceleration from +74 (2022) openings suggests a strategic shift.

STRONG ANSWER SOUNDS LIKE

'The restructuring was for [specific reason: PE investment, tax optimization, operational flexibility]. Operationally, we [changed recruitment approach, territory standards, marketing programs].' Connects structure to strategy.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'It was a routine corporate reorganization. No impact on franchisees.' Dismisses without explaining timing.

FOLLOW-UP

Ask whether the franchise agreement terms changed after the reorganization. Ask if territory sizes or franchise fees were modified.

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8. No litigation is disclosed despite 122 terminations. Have any terminated franchisees disputed their exits through arbitration or informal channels?

Item 3 — no litigation. Item 20 — 122 terminations.

WHY IT MATTERS

Zero disclosed litigation with 122 terminations is unusual. It could mean all exits were clean and consensual, or it could mean disputes are resolved below the disclosure threshold (arbitration, pre-litigation settlements, or disputes not yet reaching the required stage).

STRONG ANSWER SOUNDS LIKE

'We've had [X] arbitration proceedings. Most terminations are mutual — the franchisee agrees to exit. Here's our exit process.' Acknowledges the question honestly.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Our legal record speaks for itself. No litigation required to be disclosed.' Technically correct but avoids the substance of the question.

FOLLOW-UP

Ask if the franchise agreement requires binding arbitration (which would not appear in Item 3). Ask if any terminated franchisees received settlements or releases.

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9. The working capital estimate is $1,500–$5,000 (3 months), excluding salary, employees, rent, and utilities. What should a realistic first-year budget look like?

Item 7. Lowest working capital estimate in cohort. Squad includes $84K–$117K for 12 months.

WHY IT MATTERS

The $5K working capital cap almost certainly understates real cash needs. A buyer who plans around the Item 7 total ($158K) without additional reserves will likely run out of cash.

STRONG ANSWER SOUNDS LIKE

'We recommend $[X] in additional personal reserves. Here's a realistic first-year cash flow timeline for a new single-territory operator.' Specific, honest supplemental guidance.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'The Item 7 estimates are conservative. Most franchisees find them adequate.' Contradicted by the explicit exclusions in the FDD.

FOLLOW-UP

Ask what the average first-year total cash outlay is for recent franchise launches. Ask how many of the 2024 terminations were first- or second-year operators.

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10. Transfers increased from 12 to 28 over the 3-year period. Are resale prices holding, and what is the average time on market?

Item 20. 12 transfers (2022), 21 (2023), 28 (2024). Rising steadily.

WHY IT MATTERS

Rising transfers combined with high terminations could signal distressed selling. If resale prices are declining or time on market is increasing, the exit economics are deteriorating.

STRONG ANSWER SOUNDS LIKE

'Average resale price is [X]× the original franchise fee. Average time on market is [Y] months. We facilitate introductions between sellers and buyers.' Specific data, active support.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Transfers fluctuate. We support franchisees who want to transition.' No data on pricing or market dynamics.

FOLLOW-UP

Ask whether any transfers were at a loss (below original franchise fee). Ask how many transfers were franchisor-facilitated vs franchisee-initiated.

Source & Methodology

Source document: Mosquito Shield 2025 Franchise Disclosure Document, filed with the Wisconsin Department of Financial Institutions. ~230-page regulator-source PDF. SHA-256:
`3de232c6a558d2563de70252c118058788fc82bd9209331b172f4e09274408ec`

Extraction: Structured data extraction using pdfplumber with manual review. Field-level provenance recorded (source year, state, page number, item reference). Extraction confidence: high (3+ fields spot-checked against source).

Fee modeling: Year 5 assumptions, single territory, 1 owner + 1 technician. Revenue distributed evenly across the year. All mandatory fees enforced. See fee_modeling_framework.md for full methodology.

Economics scenarios: Revenue estimates drawn from Item 19 data. COGS ratio is brand-specific (derived from available company-owned P&L data; see Economics section for derivation and assumptions). Scenarios are illustrative, not predictive. Operating costs beyond franchisor fees and COGS are not estimated — the buyer must validate these independently.

Peer comparison: Same methodology applied to all 7 brands in this cohort (Mosquito Authority, Mosquito Hunters, Mosquito Joe, Mosquito Sheriff, Mosquito Shield, Mosquito Squad, MosquitoNix). All from 2025 FDDs filed with Wisconsin DFI.

Disclaimer: This report is not legal advice, investment advice, or a recommendation to buy or avoid this franchise. It is a structured analysis of publicly available regulatory filings. The buyer should read the actual FDD, consult a franchise attorney, and conduct their own due diligence before making any investment decision. Economics scenarios are illustrative frameworks for buyer-side thinking — not profitability forecasts.